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10. Which one of the following is not a timing difference?

(a) Cheque deposited but not yet credited

(b) Cheque issued but not yet presented for payment

(c) Amount directly paid into the bank

(d) Wrong debit in the cash book

Answers

1. (b)	2. (c)	3. (a)	4. (c)	5. (c)	6. (b)	7. (d)	8. (a)	9. (b)	10. (d)

II Very short answer questions

1. What is meant by bank overdraft?
2. What is bank reconciliation statement?
3. State any two causes of disagreement between the balance as per bank column of cash book and bank statement.
4. Give any two expenses which may be paid by the banker as per standing instruction.
5. Substitute the following statements with one word/phrase

(a) A copy of customer's account issued by the bank

(b) Debit balance as per bank statement

(c) Statement showing the causes of disagreement between the balance as per cash book and balance as per bank statement

6. Do you agree on the following statements? Write "yes" if you agree, and write "no" if you disagree.

(a) Bank reconciliation statement is prepared by the banker.

(b) Adjusting the cash book before preparing the bank reconciliation statement is compulsory.

(c) Credit balance as per bank statement is an overdraft.

(d) Bank charges debited by the bank increases the balance as per bank statement.

(e) Bank reconciliation statement is prepared to identify the causes of differences between balance as per bank column of the cash book and balance as per cash column of the cash book.